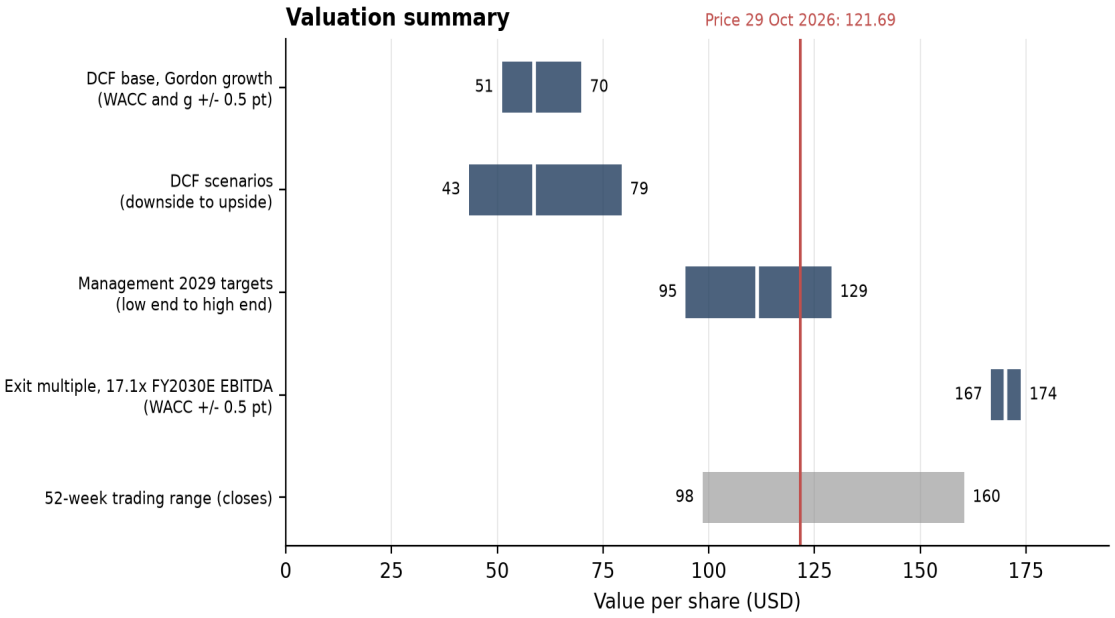
Granite Construction (NYSE: GVA): DCF summary

Ali Asgarov. Valuation date 29 Oct 2026 (Q3 2026 10-Q). USD unless stated. Model, data and code: 01-three-statement-dcf in my finance-portfolio repository.

Result

My base case values Granite at **USD 58.72 per share**, against a share price of USD 121.69 on the valuation date (-52%). Enterprise value is USD 3,629m, 80% of it from the terminal value, and equity value USD 2,625m on 44.70m diluted shares. A reverse DCF shows the price is roughly what the model gives if Granite meets the middle of its new 2029 targets (11% organic growth a year, 15% adjusted EBITDA margin) and then grows at 4%.

Case	Value per share	vs price
Downside: no Construction growth in FY2027E, gross margin 14.5%	43.28	-64%
Base case (Gordon growth)	**58.72**	**-52%**
Upside: gross margin implied by FY2026 guidance	79.37	-35%
Management 2029 targets, low / mid / high	95 / 111 / 129	-8%
Exit multiple cross-check (Damodaran industry, 17.1x FY2030E EBITDA)	170.20	+40%



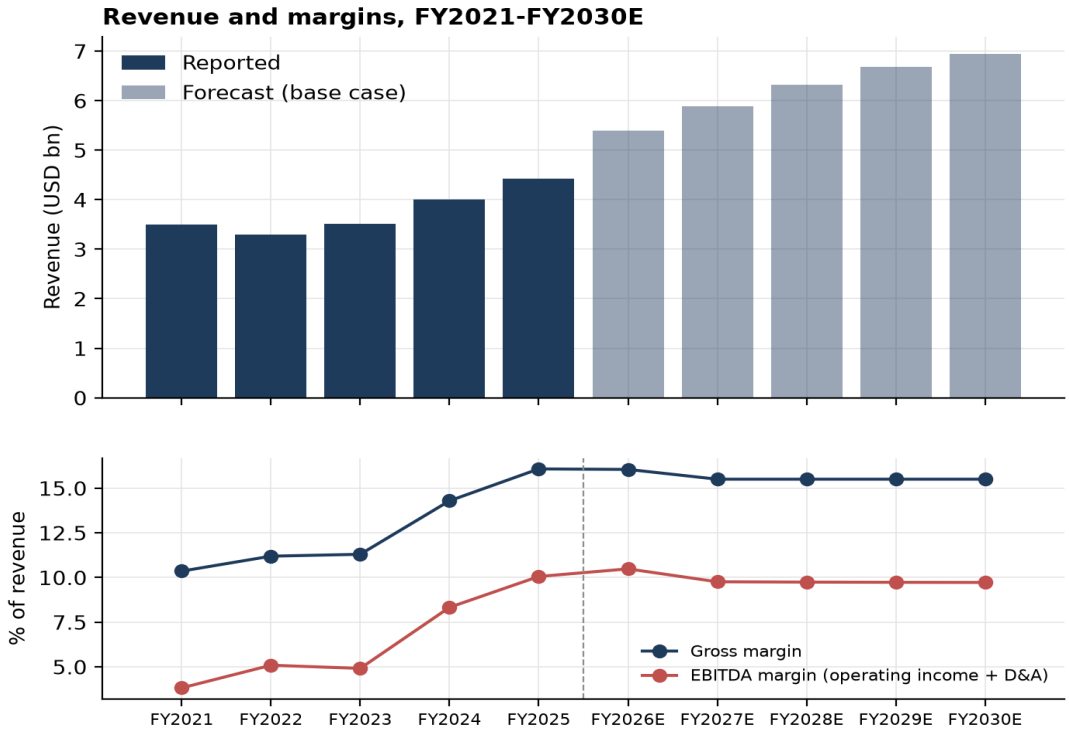
Source: model/granite_model.xlsx (DCF and Sens sheets); prices from yfinance (Yahoo Finance), retrieved 2026-11-04. White marks: base or midpoint.

Key assumptions

Assumption	Value	Basis
FY2026E revenue	5,400m	Low end of guidance (raised 29 Oct)
FY2027E organic growth, fading to 4% by FY2030E	9.0%	Backlog (CAP) at 30 Sep 2026 x historical conversion
Gross margin FY2026E / from FY2027E	16.0% / 15.5%	9M actual + seasonal Q4 / net estimate revisions removed
SG&A, % revenue	8.75%	Top of guidance; SBC treated as a cost
Sales-to-capital; terminal RONIC	3.87; 9.7%	Granite FY2022-25 averages
WACC	8.93%	Cost of equity 10.07% (levered beta 1.21), pre-tax cost of debt 6.63%, D/E 29%
Long-run growth	4.0%	FOMC long-run real growth 2.0% + PCE inflation 2.0%

What the share price implies

Changing one input at a time, the price needs a gross margin of 20.0% from FY2027E (Granite reported 10.4% to 16.1% in FY2021-25), or about 33% organic growth a year to FY2030E. No terminal return on new capital is enough on its own. The Gordon value implies about 6.5x FY2030E EBITDA; the industry's 17.1x would mean growing 8.6% a year forever.



Source: Granite 10-K/10-Q filings (SEC EDGAR); forecast from model/granite_model.xlsx. Dashed line: last reported year.

Interpretation

My base case gives about USD 59 per share, well below the USD 121.69 price on 29 Oct. The reverse DCF shows why: the price is roughly what you get if Granite hits the middle of its 2029 targets (about 11% organic growth and a 15% adjusted EBITDA margin) and then slows to 4%. That needs a gross margin of about 18-19%, above anything Granite reported in FY2021-25 (10.4-16.1%). So the gap is mostly a question of whether management delivers its margin targets. The record backlog supports the growth part. Granite's history of optimistic project forecasts, and the open question on federal highway funding, make me cautious about the margin part. I read the current price as leaving little room for error rather than as clearly wrong.

Limitations

Five years of history, all inside the federal infrastructure ramp-up. Reported margins depend on project cost estimates, and Granite restated 2017-2019 for exactly that. The credit spread comes from the 30 Sep fair value of the 6.375% notes, not a trade on the valuation date. Construction and Materials share one margin path. Financing in the forecast statements is simplified (SOFR flat, maturities repaid from cash, no buybacks); it affects EPS, not the DCF.

Sources: Granite 10-K and 10-Q filings and 8-Ks (SEC EDGAR, inline XBRL); Damodaran datasets, Jan and Oct 2026 (betas, implied ERP, EV/Sales, EV/EBITDA, return on capital, synthetic ratings); FRED (DGS10, GDPC1MDLR, PCECTPIMDLR); share price from yfinance (Yahoo Finance). Full list with accession numbers in data/SOURCES.md; every assumption is explained in ASSUMPTIONS.md.